

management's discussion and analysis

Results of Operations – 2004 compared to 2003

<i>for the year ended November 30 (millions except per share data)</i>	2004	2003
Net sales	\$2,526.2	\$2,269.6
Gross profit	1,007.9	898.6
Gross profit margin	39.9%	39.6%
Selling, general and administrative expense	677.7	597.6
Percentage of sales	26.8%	26.3%
Operating income	332.7	295.5
Operating income margin	13.2%	13.0%
Earnings per share from continuing operations – diluted	1.52	1.40

During 2004 and 2003, there were several acquisitions and divestitures that affected comparability of operating results. In November of 2004, the Company acquired Silvo, the market leader in the Dutch spices and herbs consumer market. Silvo is expected to generate approximately \$50 million in sales in 2005. In June of 2003, the Company acquired Zatarain's, the leading U.S. brand of authentic New Orleans-style food. In January of 2003, Uniqsauces was acquired, which expanded condiment flavors and packaging formats for the Company.

During the third quarter of 2003, the Company sold its packaging business and the U.K. Jenks brokerage operation. As a result, prior period sales and related expenses for these discontinued operations were reclassified and reported as "Net income from discontinued operations" in the consolidated statement of income. The consolidated balance sheet and consolidated statement of cash flows were also reclassified to present separately the assets, liabilities and cash flows of the discontinued operations.

For the year ended November 30, 2004, McCormick reported sales from continuing operations of \$2.5 billion, an increase of 11.3% above 2003. Sales growth was the result of a 4.2% volume increase, 3.7% from favorable foreign exchange rates, 2.2% in the first half of the year from the acquisition of Zatarain's, and a 1.2% increase in pricing and product mix. The acquisition of Silvo on November 1, 2004 added \$4.5 million in sales in 2004. During 2004, the Company achieved higher volume with new products, expanded distribution and more effective marketing.

Gross profit margin increased to 39.9% in 2004 from 39.6% in 2003. The gross profit margin increase was due to cost reductions achieved in the first year of a three-year \$70 million cost reduction program began in 2004. Sale of more value-added products and pricing actions in our consumer business also improved gross profit margin. Higher costs of employee benefits, fuel and a competitive operating envi-

ronment in Europe during 2004 partly offset the gross profit margin increase.

Selling, general and administrative expenses were higher in 2004 than 2003 on both a dollar basis and as a percentage of net sales. These increases were primarily due to increased distribution expenses, higher advertising expenses and increased employee benefit costs. The increase in distribution expenses was primarily due to higher fuel costs, as well as freight and warehousing costs associated with new product introductions, and incremental distribution costs related to the acquired Zatarain's business. The increase in employee benefit costs was mainly the result of higher pension costs in 2004 compared to 2003. In the consumer business, advertising expenses increased in order to launch several new products and to support the brand name.

Special charges were a credit of \$2.5 million in 2004 compared to a charge of \$5.5 million in 2003. This change was primarily due to a net gain of \$8.7 million recorded in 2004 for funds received from a class action lawsuit that was settled in the Company's favor.

Pension expense was \$30.0 million and \$22.1 million for the years ended November 30, 2004 and 2003, respectively. In connection with the valuation performed at the end of 2003, the discount rate was reduced from 7.0% to 6.0% and the expected long-term rate of return on assets was reduced from 9.0% to 8.5%. These changes along with the increased amortization of prior actuarial losses increased pension expense in 2004. Pension expense in 2005 is expected to increase approximately 6%.

Interest expense from continuing operations increased by \$2.4 million. Higher average debt levels during 2004 contributed to this increase, partially offset by repayment of higher rate long-term debt.

Other income decreased to \$2.1 million in 2004 compared to \$13.1 million in 2003 due to two significant transactions recorded in 2003. In 2003, the Company benefited from \$5.4 million of interest income received on the Ducros purchase price refund and a one-time gain of \$5.2 million from the sale of an interest in non-strategic royalty agreements. The Company entered into the non-strategic royalty agreements in 1995 and since then had benefited modestly from tax credits and royalty income.

The effective tax rate was 30.3% in 2004 down from 30.9% in 2003. The decrease in the effective tax rate is due to mix of earnings among the different taxing jurisdictions in which the Company operates and the settlement of tax audits for less than amounts previously accrued. Due to the anticipated change in available net operating loss carryforwards in various jurisdictions and earnings mix, the Company anticipates the tax rate to increase by 1-2% in 2005.